
PalmSource™ 99
Venture Creation:
From Concept to Reality
Software Development Forum
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Assessing the Market Opportunity

Philippe Morali
Director, Corporate Business Development
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Agenda

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- The opportunities are numerous and attractive, however resources are limited
  - Focusing early is key to success
- Market assessment
  - How to assess and define a market opportunity
- 3Com/Palm Computing as an investor
  - Venture investment vs. strategic investment
  - What we are looking for? A pragmatic view

New Product Segments Are Developing Rapidly

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Today

Future

Voice



Voice

Mobile Data

Data



Data

Infotainment

Entertainment



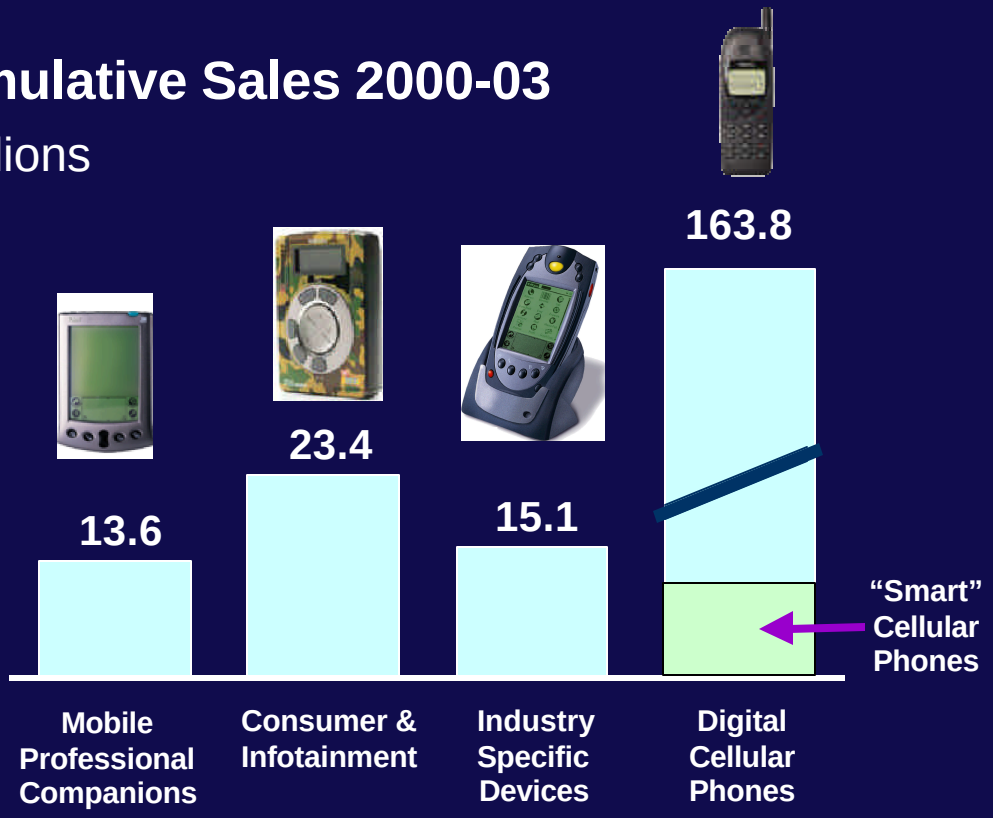
Entertainment

Market Opportunity: "A Palm Device in Every Hand"

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Cumulative Sales 2000-03

$ Billions



The Next 5 Years Will Present the Palm Economy with Opportunities in Multiple Markets

* Current analysis only includes MP3 player and games consoles

** IDC industry device analysis includes keyboard and notepad based devices

Source: IDC; Dataquest; Forrester; McKinsey analysis

Focusing Is Key to Success

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- Palm Computing's success to date is largely due to focus on delivering a user experience unmatched by others
- FOCUS will buy you plenty
  - Customers: a compelling value proposition is more easily sold
  - Productivity: employees are happier in focused environments with clear sense of purpose and direction
  - Investors: want to know that the limited resources they are funding are applied wisely
  - Getting on to the next opportunity: easier to build your next success on the 1st one

Assessing Market Opportunities

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- Goals
  - Define and prioritize market segments on the basis of market demand
  - Target specific segments on the basis of sustainable competitive advantage
- A proposed process
  - Collect and organize existing information on customers, channels and competitors
  - Pick a focus for investigation
  - Develop market model: customers, channels, technology

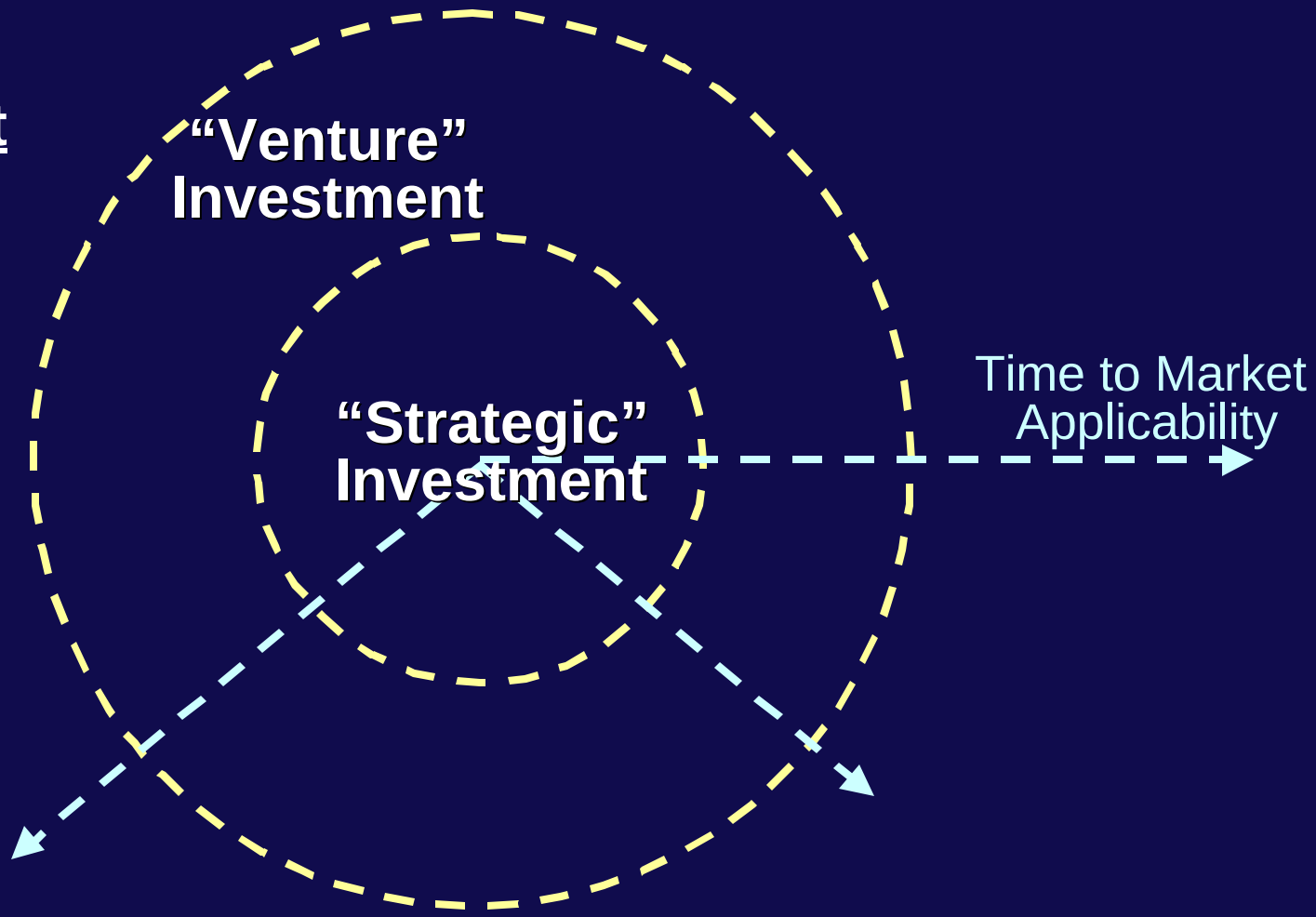
Assessing Market Opportunities

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- A proposed process, cont'd
  - Conduct research into needs
  - "Discover" market segments
  - Assess competitive landscape
  - Evaluate market attractiveness and target segments

Strategic Investment vs. Venture Investment

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What We Are Looking For?
A Pragmatic View

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- Compelling value proposition
- Contribution to growth of the Palm economy
- Differentiation, strategic gap…
- Market opportunity: size does matter
- Sustainable business model
- People with vision and passion (NOT dreams and emotions…)

- Are you Zen? (of Palm)

Good Luck

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Writing a Winning Business Plan

Steve Bengston,
Director Emerging Company Services
PricewaterhouseCoopers

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Writing a Winning Business Plan

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- Critical Success Factors
- Market
  - Size and growth
  - Competitors
- Product/Customer
  - What problem solved?
  - Who buys?
  - Revenue Model
- Team
  - Past Successes

Business Plan Structure

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- Length
  - Executive Summary: 1–2 pages
    - Start with vision, essence
  - Body of Business Plan: <20 pages or 20 PowerPoint slides
    - May not need text plan
  - Appendices: minimize/eliminate
  - Plans are never too short, usually too long
- Level of Detail
  - Only enough to make your argument clear
  - Leave detailed discussions for follow-up

Market

- Existing market size
- Total available market
  - Use 3rd party data, interviews
- $1+ billion market
- 2+ million users in 2 years
- Discuss competitors, pros & cons
  - Don’t say “no competitors”

Product/Customer

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- Describe product, simple language
- What is problem solved?
- Who is customer?
  - Talk to prospects, get quotes
  - Don’t need finished product to sell
- Revenue model
- Value added/entry barriers/uniqueness

Team

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- Past successes/excellence
  - Worked together before?
- Unique capabilities
- P&L responsibility
- Made money for investors
- Consultants/advisers
- People who would join upon funding
- Don’t need all holes filled

Common Mistakes

- Product concept too complex or me too
- No market validation/research/quotes
  - Will dogs eat dogfood?
- Product, not company
- Market too small
- Competition section weak/biased
- Management weak/incomplete/inexperienced
- Plan too long

Writing a Winning Business Plan

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- Steve Bengston
- Emerging Company Services
- PricewaterhouseCoopers
- 408 817 3717
- steven.bengston@us.pwcglobal.com
- For copy of presentation
  - Leave Card with Note
  - Send E-mail

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Funding Your Venture

Robert S. Winter
The Winter Group (robert@thewintergroup.com)

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Differences Among the Investors

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	Pros	Cons
Customers (Buyer)	Cheapest monies Enhances customer-orientation Builds value (market validation)	Little value-added
Corporate	Can strengthen focus Can add strategic leverage (e.g., channel, tech, manufacture)	Value maybe unclear Must align to agenda
Private/Angel	Little money to invest More total $ available Can be more flexible on exit Willing to take more risk	Lots of alternatives Harder to find Have specific areas
Venture Capital	Deep “pockets” Have to invest Rich resource network *Discipline*	Expensive money Desire exit strategy

Internalize the Key Elements of Success

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- Build a compelling story
- Understand process and motivations of investors
- Get qualified referral to investment group
- Seek to build a relationship with a partner
- Allot time to raise funds…it's a process
  - Average, 3–6 months…can be up to 9+ months
  - Don't go in, starved for cash
- Have a fundable team
- Stage investments to minimize dilution

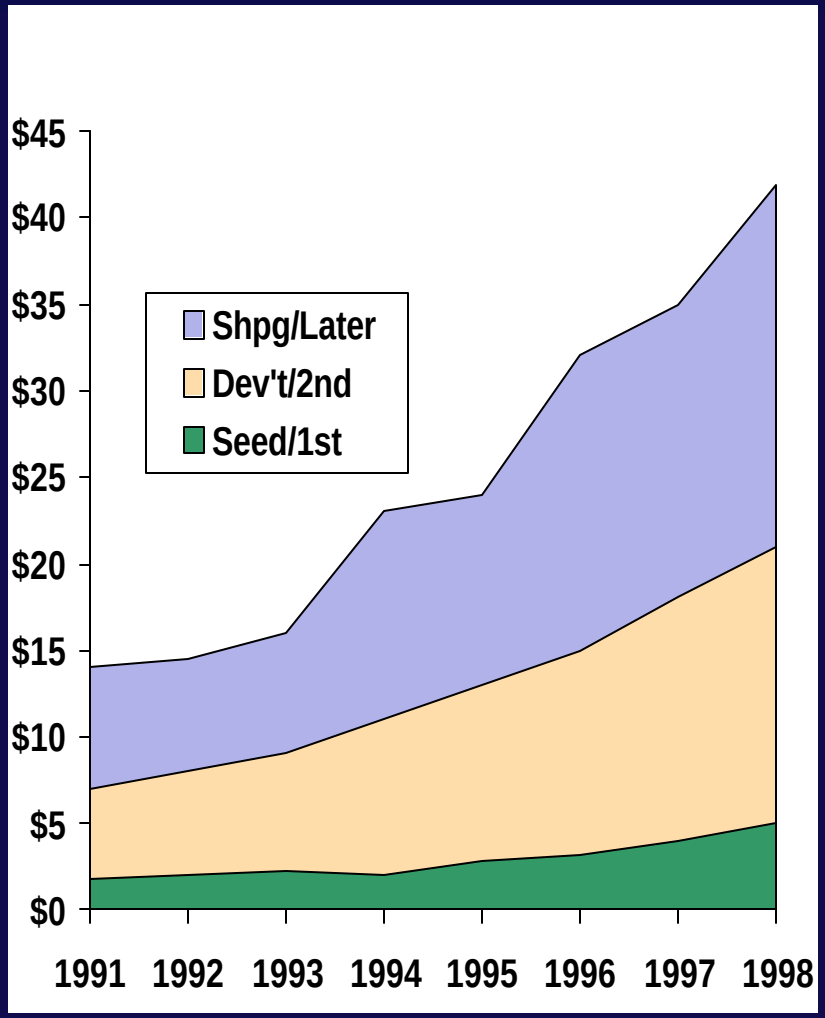
Venture Valuations Are…
"More Art than Science"

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- Pricing is dependent on…
  - Milestone stage and degree of risk (incl. team)
  - Expected time for expect return
  - Market size and product uniqueness
  - Market "noise level"
  - Condition of public/private markets
  - Traditional valuation methods, e.g., DCF, market multiples, are limited
  - Understand venture 'comps' (ref. VentureOne)
- Must be considered in light of other issues—i.e., Terms and Conditions can be more important

Understand the Secret to Minimizing Dilution ➡ Stage Your Capital

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Source: VentureOne, 1999

- Post-seed venture rounds are exhibiting rapid ⬆ valuation
- Faster today than the past
- Driven by…
  - NASDAQ liquidity
  - Crossover funds
  - Desire to put larger amounts of capital to use
- An Example…
  - 7/98, Series A: $4 MM pre-value; $6 MM post-value
  - 7/99, Series B: $40 MM pre-value; $53 MM post-value

Round Size and Pre-Money Valuation

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Stage	Round Size		Pre-Money Valuation	
	Range	Typical	Range	Typical
Seed	$100K-2M	$1M	$1-4M	$2.5M
1st	$1-10M	$5M	$3-10M	$6M
2nd	$5-30M	$10M	$10-100M	$20M
3rd/Bridge	$20-100M	$30M	$50-200M	$80M

It's About Managing Risk…

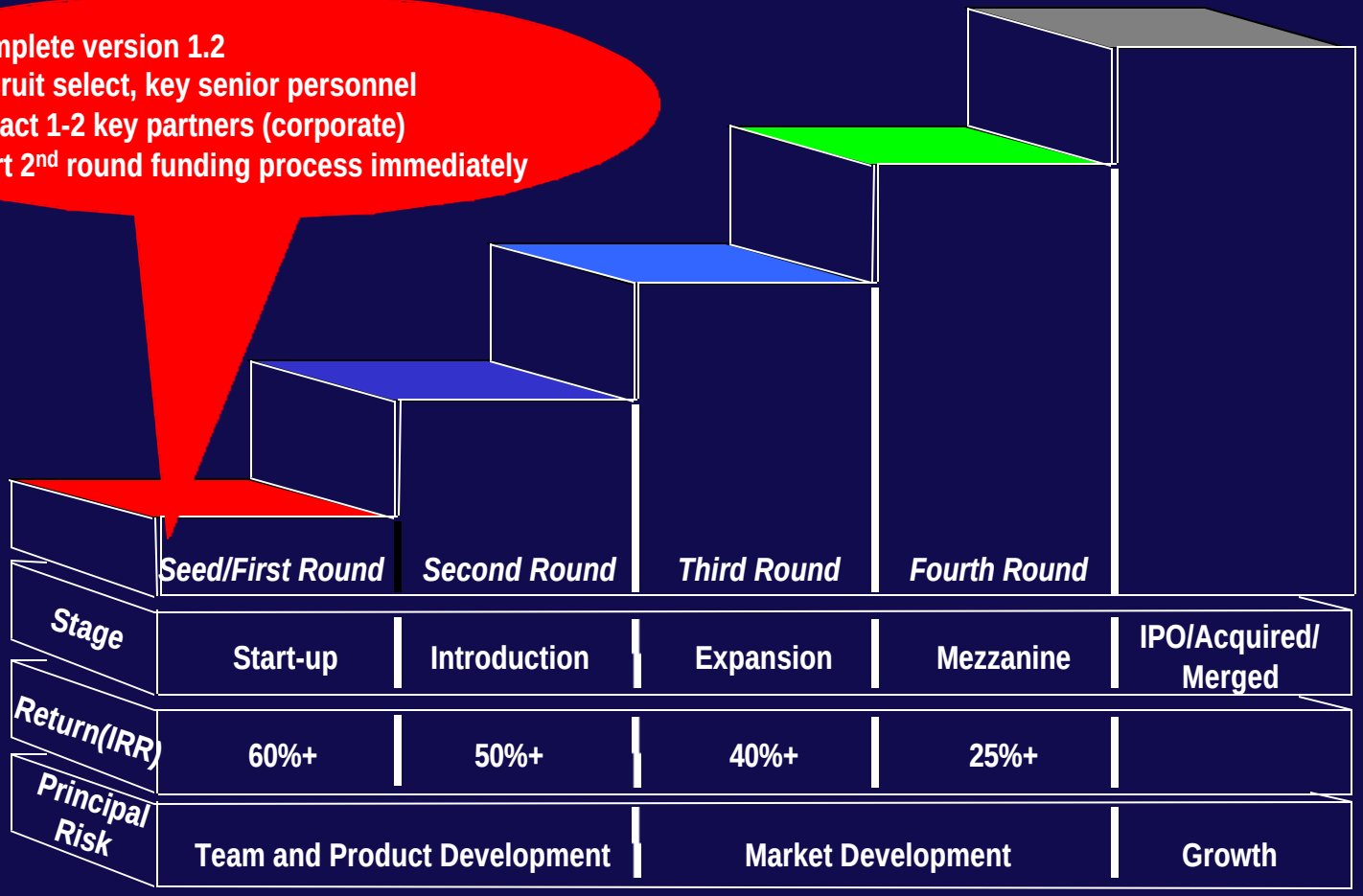
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- Market
  - What problem is this product solving?
  - Is it a big enough market (>$1+ billion for VCs)?
- Technology
  - Who owns the idea and technology?
- Financial
  - How much and long will it take?
- Management
  - Can this team exploit the market opportunity?

Milestones Drive Investment and Build-Out, While Managing Risk

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- Complete version 1.2
- Recruit select, key senior personnel
- Attract 1-2 key partners (corporate)
- Start 2nd round funding process immediately



7 Deadly Sins, Why VCs Won't Fund You…

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- Wrong team, no team, weak team
- Not a business, but a technology or product
- Few if any barriers to entry; long sell cycle; etc.
- Wrong business model—can't make money, can't cost effectively get customers, etc.
- Misrepresentation of the team, deal
- Market
  - Small, or no market; no market validation
  - Only 2% of market—investor want leaders, prove it!
- Not compelling—complicated or no clear value

Bio on Robert S. Winter…

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- Venture investments and strategic consulting in technology
- General Partner at Comdisco Ventures and Senior Associate at Canaan Partners--venture capital firms. Acting CEO of venture-backed company
- Senior marketing, business development and sales management positions at HP, Informatics, and IBM
- Board and advisory member to several startups; member, Angel Breakfast Club
- BSEE, Rice University; MBA, Harvard University


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Start-Up Resources
Carol Lauffer
Business Development Director
Software Development Forum
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Software Development Forum

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- Center for information, connection and education
  - Software and Internet entrepreneurs
  - Developers
- Seminars—how to start and grow a technology venture
  - Funding, marketing, legal and operations
  - Taught by VCs and industry experts
- One-on-One Meetings with VC and angels, business coaches, attorneys
- 13 monthly Special Interest Groups
- Special events for networking

Other Start-Up Organizations

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- The Enterprise Network (TEN)
  - www.ten-net.org
- Silicon Valley Association of Software Entrepreneurs (SVASE)
  - www.svase.org
- Forum for Women Entrepreneurs (FWE)
  - www.fwe.org
- Bay Area Regional Technology Alliance (BARTA)
  - www.barta.org

Other Start-Up Resources

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- Garage.com
  - www.garage.com
- Frontier Ventures
  - www.frontiervc.com
- PricewaterhouseCoopers
  - www.pwcglobal.com
- Software Development Forum (SDF)
  - www.sdforum.org
    - Links to law firms with content on legal issues
    - Links to other resources

Software Development Forum

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- Go to www.sdforum.org
- Get on SDF mailing list—newsletter
  - Call 408-494-8378
- Join the events email list
  - Send the message “join” in the body of the text to events-request@sdforum.org
- Join!


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